

I began buying common stocks at the depths of the Depression. Prices were at their lowest, and there weren't many stock buyers around. Most people with money to invest were unable to see the forest of potential profit for the multitudinous trees of their largely baseless fears. I had confidence in the future of the American economy and realized that the shares of many entirely sound companies with fine potentials were selling at only a fraction of their true worth.

When I first bought Tide Water Associated Oil Company stock in 1932, its price was as low as \$2.12 per share. The average per-share open-market price of the stock rose steadily, as shown below:

198

Year \$

1933 8.23

1934 9.39

1935 11.61

1936 15.54

1937 20.83

The price fell off during the 1938 slump, but this was just one of the sporadic tremors. I not only held on to the shares I owned, but bought more.

My confidence was fully justified in the years that followed as the value of the stock increased many, many times, and I— along with all the other stockholders—also collected handsome dividends.

In May 1932, I also started purchasing Petroleum Corporation stock. In that month, I bought 10,000 shares at \$3.45 per share. I continued to buy steadily until, by September 14 1933, I held a total of 190,000 shares. In that month, the shares were worth nearly \$15 each; the average per-share cost of my 190,000 shares was only \$6.537.